Datacentres hyperscale capex growth

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By Pat Bustamante & Luka Belobrajdic

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Share

Private capex surprised on the upside, rising 6.5%qtr and 14.6%yr in the March quarter 2026. Machinery and equipment led the jump, driven by a 196%qtr surge in information and telecommunications, while buildings and structures were weaker.

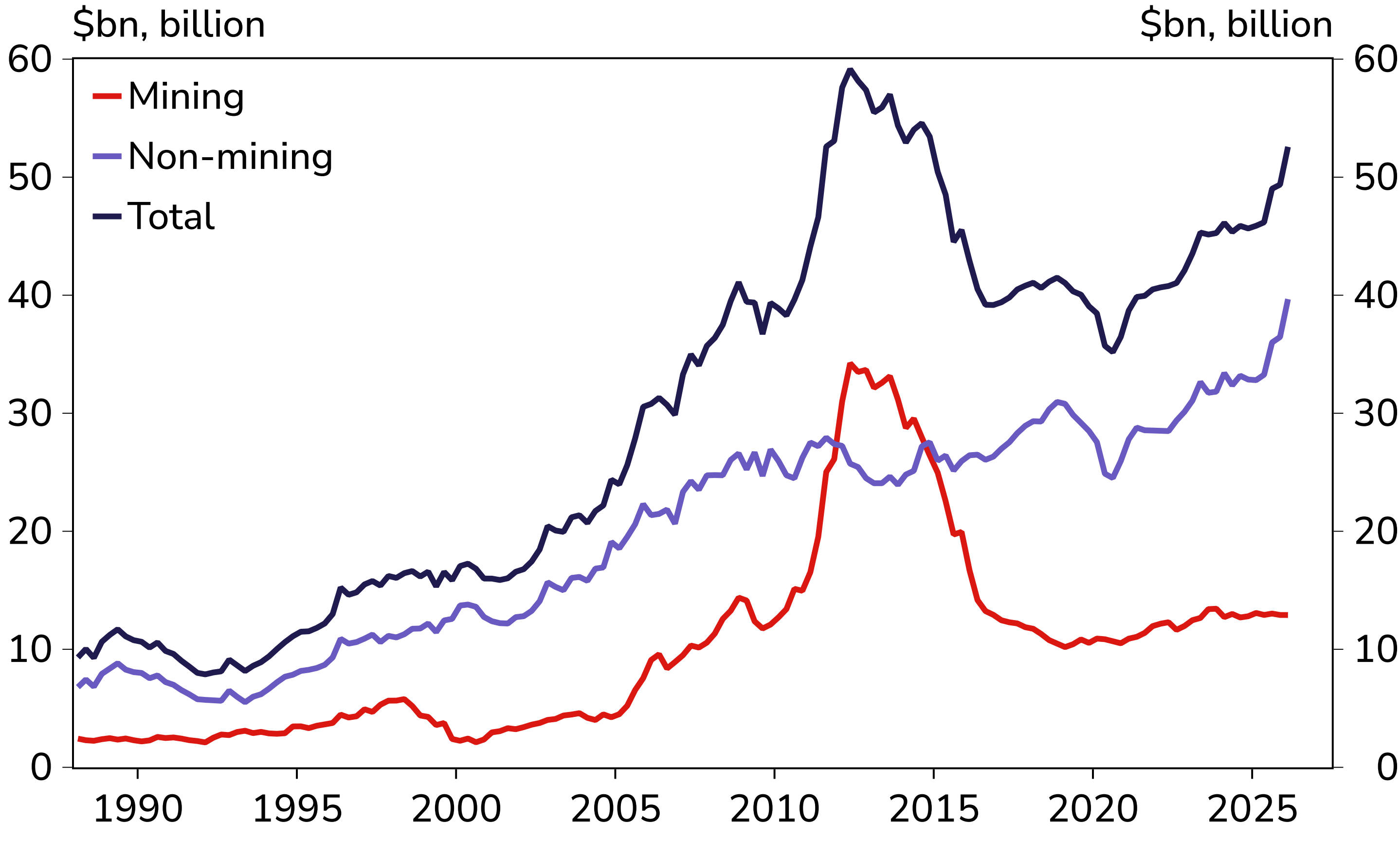
Private capex surprised on the upside, rising 6.5%qtr and 14.6%yr in the March quarter 2026, the largest quarterly increase since the height of the mining boom in 2012. Despite our view that data centres would lead a strong result in the quarter, today's outcome exceeded even our top of the range expectation for a 4.0%qtr rise, with market consensus far more subdued at 1.0%qtr.

The sharp increase was driven by machinery and equipment, which rose 18%qtr. This was the strongest quarterly growth since the December quarter 1992 – even stronger than what we saw during the mining investment boom of the 2000s. It was led by a 196%qtr surge in information and telecommunications. Excluding this industry, M&E rose a more modest 1.2%qtr. By contrast, buildings and structures were a drag on the headline, falling 3.8%qtr, with data-centre construction providing some offset.

Looking ahead, capex plans suggest some moderation in the June quarter but still point to strong outcomes for FY2026. In real terms, this implies growth of around 10.7%yr for the full year. The second estimate for FY2027 also points to a further step-up in investment.

Capital Expenditure

By industry



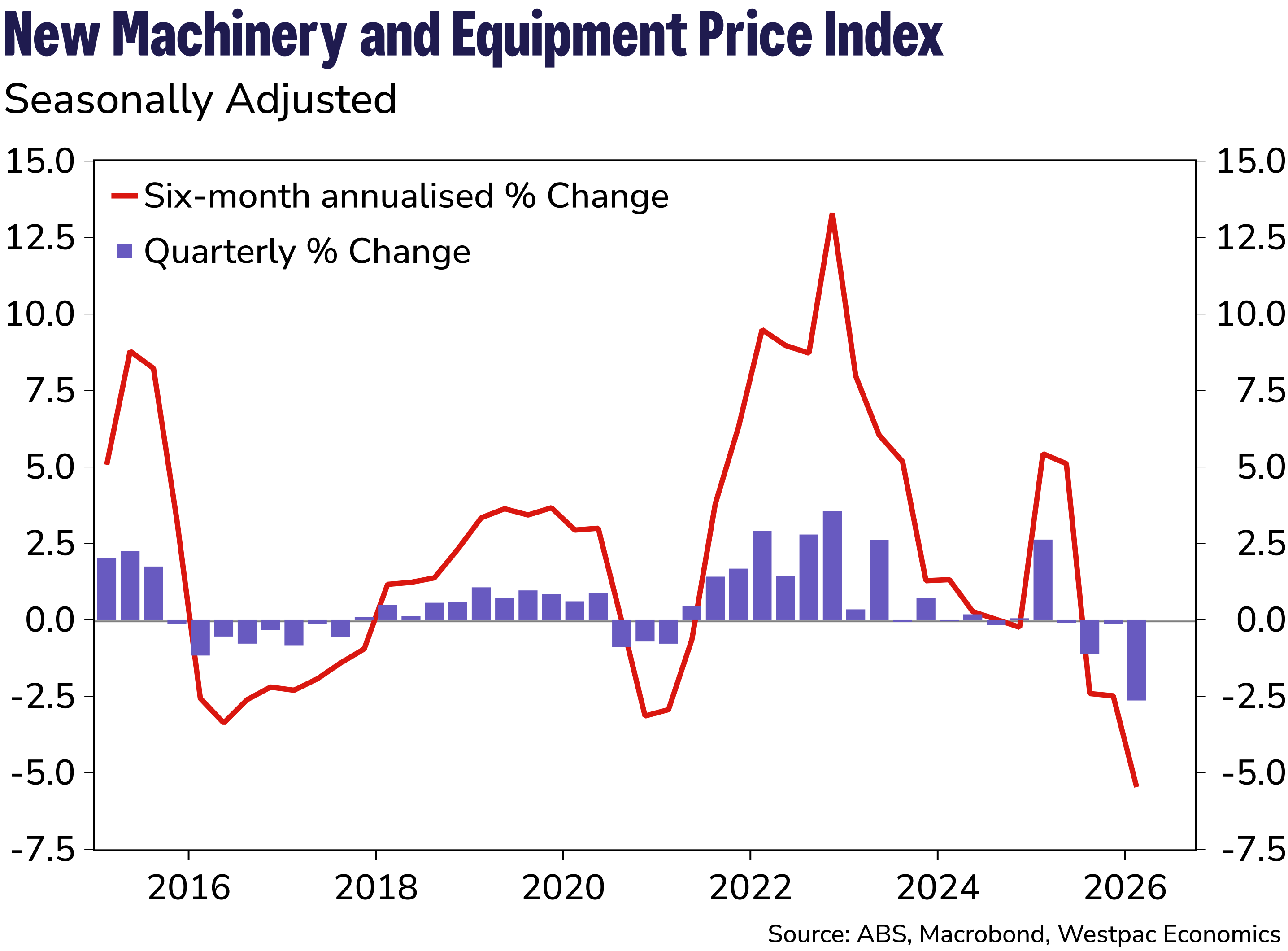
Source: ABS, Macrobond, Westpac Economics

What does this mean for next week's National Accounts?

Capex data today, alongside yesterday's construction work done release, point to a modest upside risk to our Q1 2026 GDP nowcast (full update tomorrow). However, the stronger capex pulse should translate only partially into GDP, with a significant share leaking abroad. Trade data collaborates this with capital imports increasing around 7.0%qtr in Q1 (and almost 8.0%qtr when aircrafts are excluded).

What about inflationary pressures?

Capex price pressures have eased materially. The machinery deflator has declined for a fourth consecutive quarter, marking a full year of retreat, with a 5.5% fall in six-month annualised terms. This likely reflects the import-intensive nature of data-centre investment—evidenced by a 94%qtr rise in ADP equipment imports—alongside an appreciation in the Australian dollar during Q1 2026. This disinflationary impulse should help contain cost pressures for businesses and support ongoing investment.



Industry detail

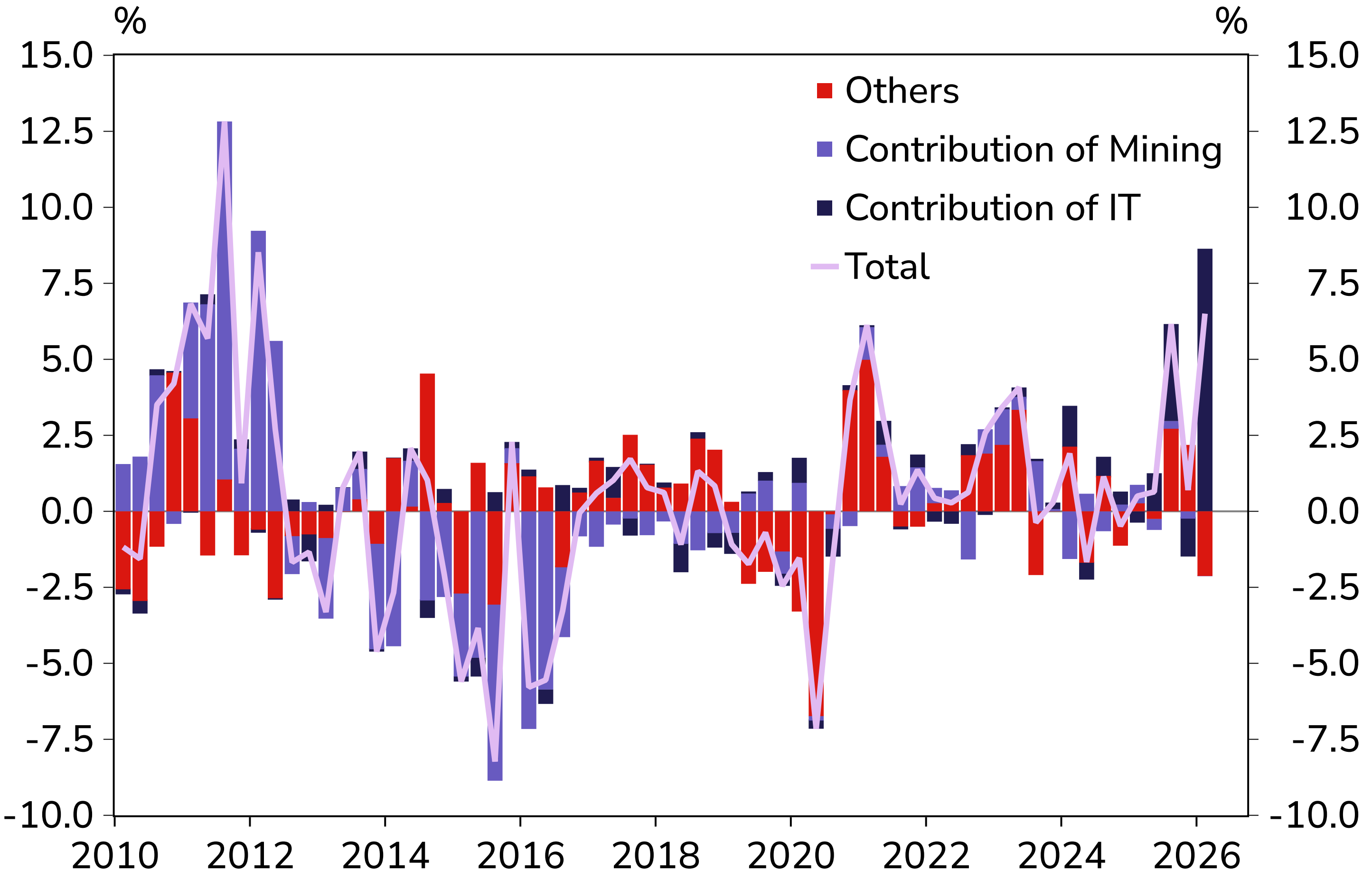
Mining capex was broadly flat in the quarter, with a 7.2% rise in machinery and equipment offset by a 2.9% decline in buildings and structures. Non-mining capex rose strongly, increasing 8.8%qtr and 20.9%yr—the largest year-ended increase since Q3 2005. This was driven by a 20.1%qtr rise in machinery and equipment, while buildings and structures declined 4.3%qtr.

As we were expecting, information and telecommunications was the clear standout, rising 96.1%qtr. Leading indicators—particularly strong ADP equipment imports and commercial building approvals—had pointed to a large increase. This outcome is the strongest since March 2007 and cements the sector as the second largest by capex ($8.7bn), behind mining ($12.9bn). While buildings and structures rose 12.6%qtr, the surge was overwhelmingly driven by machinery and equipment, which rose 196%qtr, leaving M&E more than double the value of buildings and structures investment. The scale-up in data-centre investment is increasingly reminiscent of the early-2010s mining boom, with the sector contributing more to overall capex growth than all other industries combined. While current investment is concentrated in import-intensive equipment—with relatively limited immediate domestic GDP impact—this is likely to shift as projects transition to the production phase.

Elsewhere, retail trade recorded a strong 12.2%qtr increase, with buildings and structures up 17.8%qtr and machinery and equipment rising 9.8%qtr. This marks a second consecutive quarterly rise, pointing to a lift alongside the cyclical upswing we saw in 2025, although the sustainability of this momentum remains uncertain given weak consumer sentiment.

Electricity, gas, water and waste declined 8.4%qtr, following a 12%qtr rise previously, with the ABS noting a series of large projects reached completion over the quarter. Both buildings and structures (-8.5%qtr) and machinery and equipment (-7.0%qtr) contributed to the decline. Despite this, the sector is expected to be supported over coming quarters by the energy transition and increased infrastructure demand linked to data-centre expansion.

Contributions to CAPEX growth



Source: ABS, Macrobond, Westpac Economics

Capex spending plans

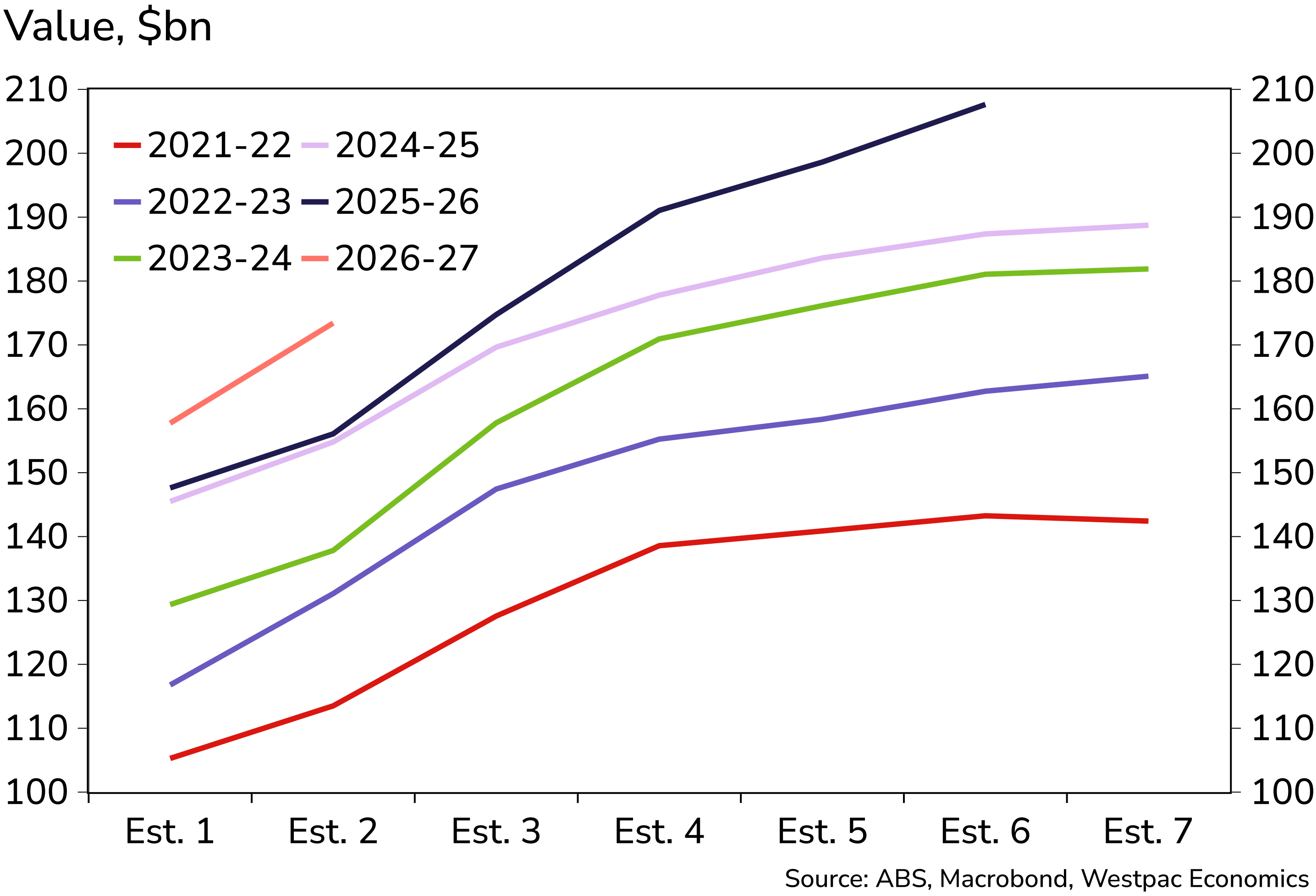
Alongside the capex data, the ABS also publishes businesses spending plans for this financial year, which allows us to assess how the capex spending is likely to evolve over the coming quarters. Usually, those plans tend to have a bias, with companies first estimates usually erring on the side of caution. Over time, business tend to revise their plans higher. We apply a methodology, that takes historical ratios of plans to actuals alongside business conditions which allows us to derive a more realistic capex estimate in the year ahead.

Estimate 6 for FY2026 came in at $208bn, above our expectation of $204bn, and pointing to continued resilience despite weaker business confidence. This represents an 11.2% increase on a year ago and a 4.5% upward revision from Estimate 5. Based on the historical profile of estimates, this implies nominal capex of around $210bn for FY2026, an 11.2%yr increase.

Estimate 2 for FY2027 came in at $173bn, an 11% increase over the equivalent estimate a year ago. This result is a clear step-up from 0.8% growth of the equivalent estimate for FY26, and suggests firms expect investment momentum to be sustained.

Price effects are playing a diminishing role. The capex deflator fell 0.7%yr, signalling a marked easing in inflationary pressures. This reflects strong imports of ADP equipment alongside the appreciation in the Australian dollar in Q1 2026, which has weighed on machinery and equipment prices. We expect the deflator to remain soft through the remainder of the financial year, with full-year average growth of 0.5%yr. Combined with nominal growth of 11.2%yr, this implies real capex growth of around 10.7%yr – the strongest result since FY2012, and a notable upward revision from our previous expectation of 7.1%.

Capex Spending Plans



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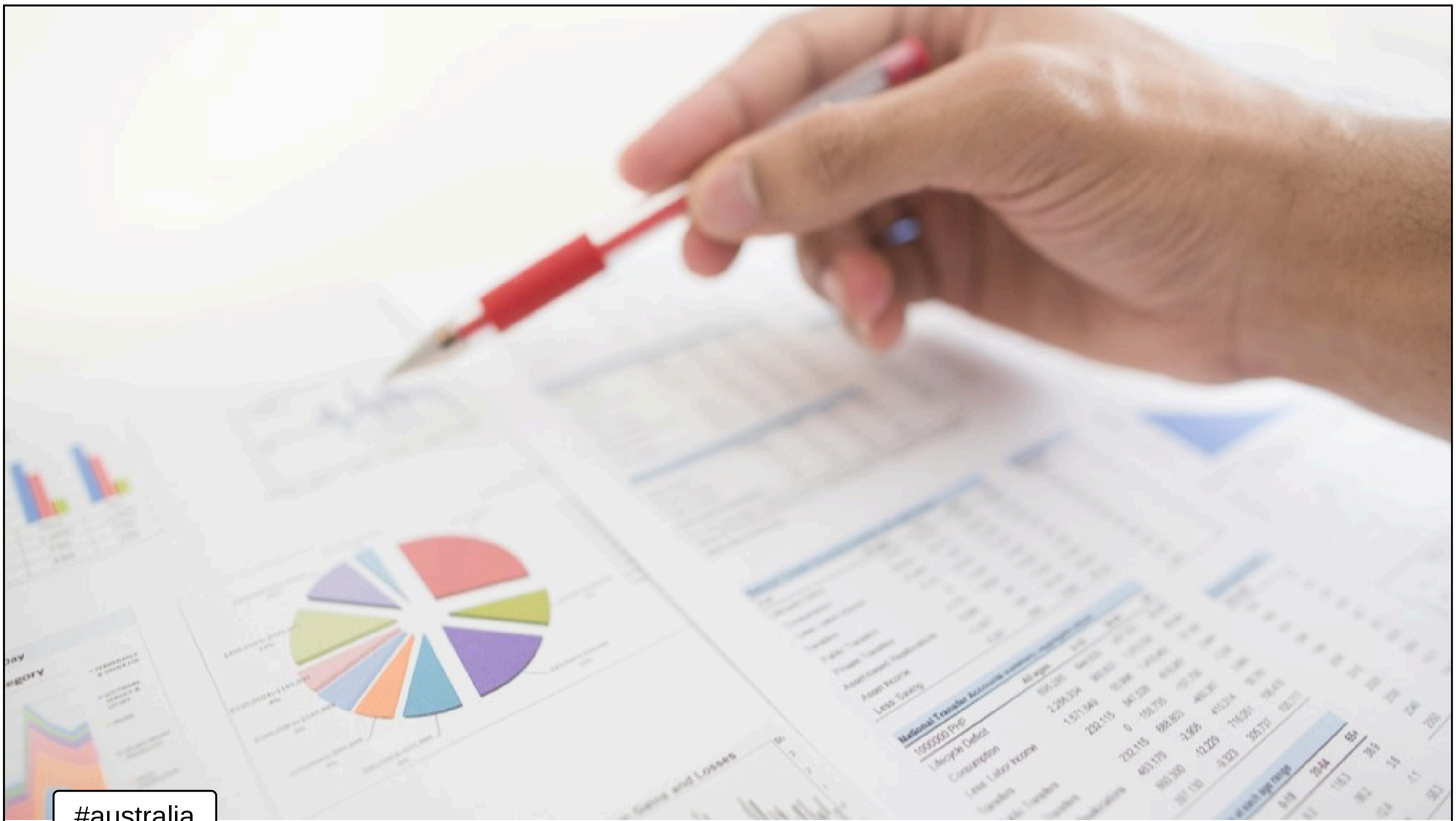

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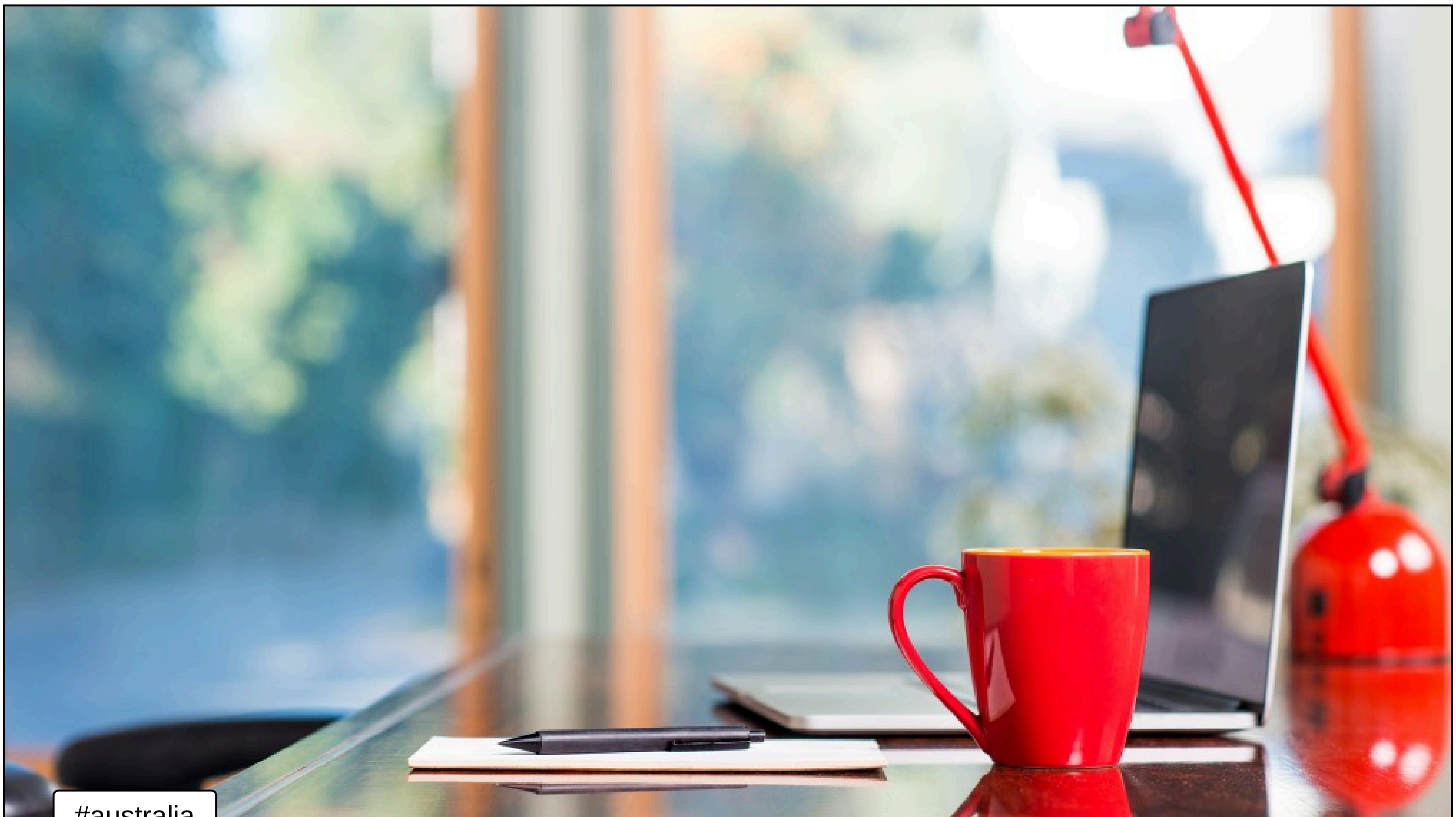

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